

Chapter 5

Crude Oil Markets

How the world prices, trades, and moves over 100 million barrels every day

The market that never closes

100M+

barrels a day

The world consumes more than 100 million barrels of crude oil and liquids every single day. No other physical commodity trades at this scale, and none feeds the global economy as directly — from transport fuel to plastics to power.

A reference price, not one price — 'Crude' is hundreds of distinct grades. The market organizes them around a handful of benchmark prices that everything else is quoted against.

Physical meets paper — Every barrel sits at the intersection of a physical cargo market and a far larger financial market built on top of it.

Why it matters — Understanding crude markets means understanding how price is discovered, who sets it, and what moves it.

Three benchmarks price the world

Brent — The global benchmark. Priced off North Sea crude and traded on ICE in London, Brent references the majority of the world's internationally traded oil. The U.S. EIA now uses it as its primary price reference.

WTI (West Texas Intermediate) — The North American benchmark. Light and sweet, physically delivered at Cushing, Oklahoma, and traded on CME/NYMEX. It is the most liquid single crude contract in the world.

Dubai / Oman — The Middle East benchmark. A heavier, sour marker that prices most crude flowing east to Asian refiners, anchoring the largest physical export flows on earth.

Everything is a differential — No grade trades in isolation. Each cargo is priced as a premium or discount to one of these three markers, reflecting its quality and location.

Two markets, two clocks

The spot (physical) market — Where actual cargoes change hands for near-term delivery. Prices here reflect real-time supply, demand, and logistics for a specific grade at a specific port.

The futures (paper) market — Standardized contracts for delivery at a fixed future date. This is where most price discovery and risk transfer happen, and volumes dwarf physical trade many times over.

The link between them — Futures and physical converge at expiry. The spread between them, and between months, tells traders whether the market is tight or oversupplied.

Why both exist — Physical players need to move barrels; financial players need to hedge and speculate. Each market makes the other function.

Where the contracts live

ICE (Intercontinental Exchange) — The London-based home of the Brent complex. ICE Brent is the settlement reference for a large share of the world's crude and refined-product contracts.

CME / NYMEX — The New York-based home of WTI. The CME runs the deepest energy derivatives market, clearing futures, options, and a vast web of spread contracts.

Central clearing — Both exchanges stand between buyer and seller, guaranteeing every trade and removing bilateral credit risk. This is what lets strangers trade billions in barrels safely.

Standardization — Fixed contract sizes of 1,000 barrels, set delivery points, and quality specs make every contract fungible — the foundation of deep liquidity.

Who sets the price

Producers & national oil companies — Saudi Aramco, ADNOC, and majors such as ExxonMobil and Shell. They sell physical crude and hedge their revenue.

Refiners & physical traders — Houses like Vitol, Trafigura, and Glencore, alongside refinery operators who buy crude, process it, and manage the spread to product prices.

Banks & financial funds — They provide liquidity, structure hedges, and take directional positions. Speculators absorb the risk that commercial players want to shed.

End consumers — Airlines, shipping firms, and utilities hedge their fuel costs. Together these players keep the market continuous and liquid around the clock.

OPEC+ and the supply lever

The group — OPEC plus allies led by Russia pump roughly half of the world's oil. Eight core members — Saudi Arabia, Russia, Iraq, the UAE, Kuwait, Kazakhstan, Algeria, and Oman — coordinate voluntary output.

The tool — By raising or withholding production quotas, the group tries to manage price and balance the market. In early 2026 it held about 3.24 million barrels per day of cuts in place, roughly 3% of global demand.

The 2026 stance — After returning about 2.9 million barrels per day to the market through 2025, the group paused further hikes into the first quarter of 2026 amid fears of a looming glut.

A new rulebook — From 2027, quotas will be based on independently audited production capacity — a contentious shift for members at very different capacity levels.

What moves the price

Supply — OPEC+ decisions, U.S. shale output, sanctions, and unplanned outages. Even small changes at the margin move price sharply, because demand is slow to adjust.

Demand — Tied to global growth, industrial activity, and the seasonal rhythm of driving and heating. Over the long run, electrification is beginning to slow the trend.

Inventories — Stock builds signal oversupply and weigh on price; draws signal tightness. Weekly U.S. inventory data is among the most-watched releases in the market.

Geopolitics & the dollar — Conflict near a key chokepoint can reprice the market in hours. And because crude is priced in dollars, the currency itself is a price driver.

When the chokepoint closes

\$118

Brent, end of Q1 2026

Brent crude began 2026 near \$61 a barrel and finished the first quarter at \$118 — the largest inflation-adjusted quarterly jump in records going back to 1988, driven by conflict in the Middle East and the de facto closure of the Strait of Hormuz.

The chokepoint — The Strait of Hormuz normally carries about a fifth of the world's seaborne oil and LNG. When transit halted, the EIA estimated Gulf producers shut in over 10 million barrels per day.

The spread blew out — With Gulf supply stranded, Brent surged above WTI; the Brent-WTI spread peaked near \$25 a barrel, its widest in over five years.

The lesson — Crude markets price geopolitical risk faster than any other. A single waterway can reset the global price overnight.

Reading the forward curve

Contango — When future prices sit above spot, the market signals near-term oversupply. It rewards storing barrels and is typical of a well-supplied market.

Backwardation — When spot sits above future prices, the market signals scarcity. It penalizes storage and is the classic signature of a supply shock — exactly what followed the 2026 Hormuz closure.

Why the shape matters — The curve is the market's collective view on future balance. Traders read it to decide whether to store, hedge, or roll positions forward.

A live indicator — The move from glut-driven contango in 2025 to sharp backwardation in 2026 captured the entire crisis in a single curve.

The market today

The retreat — By late May 2026, Brent had fallen back below \$100 a barrel, down sharply from the March peak, as talks aimed at reopening the Strait of Hormuz advanced.

Demand revised down — The price shock cut into consumption. The IEA shifted from forecasting modest 2026 growth to projecting a small contraction in global oil demand for the year.

The underlying surplus — Beneath the crisis, the structural picture was one of ample supply — non-OPEC+ output from the U.S., Brazil, Guyana, and others kept the market well stocked.

A market in transition — A fragile geopolitical truce sitting on top of a looming supply surplus left the direction of price unusually uncertain.

Conclusion — one market, many layers

Benchmarks anchor everything — Brent, WTI, and Dubai/Oman turn hundreds of grades into a single coherent price system that the whole world references.

Paper rules physical — The futures market is where price is discovered and risk is managed; the physical market is what it ultimately exists to serve.

Supply is governed, demand is structural — OPEC+ works the supply lever, while growth, seasonality, and electrification shape the underlying call on crude.

What to remember — From chokepoints to inventories to the dollar, the crude market is, above all, a machine for pricing uncertainty. With grades, terminology, and markets now covered, refining and contracts come next.